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REQUIRES A SYSTEM

Based on the above method, we take individual calls in the market. However, to reduce the effect of our psychology and randomness and to make a profit sustainably, we need to have a systematic approach rather than taking individual calls as discussed above. So, based on the patterns and trends, we create a system which defines the rules when we enter a trade and when we exit one. The strategy and system are then checked by backtesting – we will see how often we are right, how often we are wrong, how much we win when we are right, how much we lose when we are wrong, what the maximum drawdown is (the fall in the portfolio value) and so on.

So, this is how broadly technical analysis and the system of trading around it works. There are applications of the same in multiple asset classes, some of them being very complicated. However, the underlying approach remains the same. The focus of analysts is on how well they can analyze the asset prices and volume, how they define entry and exit rules and largely, how well they can create a system. Let us begin with understanding the charts and the tools used to conduct the analysis.

